

PORTFOLIO VALUE

\$176,314

NET P&L; vs COST

-6,686 (-3.65%)

CASH RESERVE

**\$176,314
(100.0%)**

POSITIONS

0 / 6

REGIME

CAUTION

MARKET ASSESSMENT

CAUTION

VIX at 17.20 is below the 20 risk-off threshold, permitting equity longs, though TNX at 4.97% — above the 4.5% caution level — triggers mandatory exit flags on all high-P/E growth and semi positions per the mandate. DXY at 99.61 is below 101, which structurally benefits multinationals and exporters. HY credit spread at 2.71bps remains historically tight, confirming no imminent credit dislocation, but the TNX signal at 4.97% and rising dominates the regime classification and overrides the VIX calm signal for semi/growth names.

INDICATOR	VALUE	INDICATOR	VALUE
VIX	17.20	HY Credit Spread (bps)	2.71
Yield Curve 10Y-2Y (%)	0.33	10Y Treasury (%)	4.97
US Dollar (DXY)	99.61	Fed Funds Rate (%)	3.63

TRADE DECISIONS

EXIT — LRCX

\$0 · Conviction 2/10 · Tier 1

ENTRY

\$266.71

STOP LOSS

\$245.37

PRICE TARGET

\$320.05

RISK : REWARD

0.0

INVESTMENT THESIS

(1) TNX at 4.97% is above the 4.5% mandatory exit threshold for high-P/E semis — the mandate requires immediate exit of this position class. (2) LRCX is up only +1.6% after 1 day held, which is below the +5% threshold needed to justify holding past day 20, and the TNX breach applies immediately regardless of days held. (3) RSI at 36.5 is oversold but the macro exit rule at TNX > 4.5% overrides any technical buy signal. (4) The 50-day MA spread and FVG pattern are irrelevant when the sector rotation mandate triggers a mandatory EXIT for all semis at TNX 4.97%. (5) LRCX carries \$5.6B cash and D/E 0.30, a strong balance sheet, but balance sheet quality does not override the TNX > 4.5% sector exit rule. (6) Exiting \$18,000 position returns capital to cash, raising available cash toward the \$67,839 current level plus \$18,148 proceeds, giving room for up to 4 more \$18k positions in compliant sectors. (7) No stop or target executed — exiting at market ~\$270.87 books +\$281 gain (+1.6%) before the TNX regime deteriorates further and erases the unrealised P&L;

PRIMARY CATALYST

TNX at 4.97% breached the 4.50% mandatory sector exit threshold for semis — mandate requires immediate EXIT regardless of P&L.;

BALANCE SHEET

Cash \$5.6B, total debt ~\$5.5B, D/E 0.30, retained earnings positive multi-year trend, buybacks Y, preferred N, BS score 10/10.

TECHNICAL SETUP

RSI 36.5, FVG pattern, TNX 4.97% breach overrides all technical buy signals — exit at market ~\$270.87.

KEY RISK FACTORS

TNX at 4.97% and rising implies 15-20% multiple compression on high-P/E semis; holding risks giving back the +1.6% gain and hitting the \$245.37 stop, a -\$1,713 loss on \$18k.

EXIT — AMAT

\$0 · Conviction 2/10 · Tier 1

ENTRY

\$417.85

STOP LOSS

\$384.42

PRICE TARGET

\$501.41

RISK : REWARD

0.0

INVESTMENT THESIS

(1) TNX at 4.97% exceeds the 4.5% mandatory exit level for semis — mandate requires EXIT of all semi longs immediately regardless of P&L.; (2) AMAT is up only +0.8% after 1 day, well below the +5% threshold needed to justify continued holding, and the regime trigger fires independently. (3) RSI at 34.1 is technically oversold but TNX > 4.5% sector rotation rule mandates exit of this semi name now. (4) The FVG pattern and 50-day MA are constructive but cannot override the hard macro EXIT rule triggered at TNX 4.97%. (5) AMAT's balance sheet is exceptional at \$7.2B cash and D/E 0.27, BS score 10/10, but balance sheet quality is irrelevant when the mandatory sector exit fires. (6) Exiting \$18,000 AMAT position at ~\$421.17 books +\$144 gain (+0.8%) and returns \$18,145 to cash, raising total deployable capital. (7) Stop was set at \$384.42 (-8%); exiting now at \$421.17 avoids any scenario where TNX continues rising above 5.0%, which historically implies 18-22% multiple compression on semi equipment names.

PRIMARY CATALYST

TNX at 4.97% exceeds the 4.50% mandatory EXIT threshold for semiconductor names — sector rotation rule fires immediately.

BALANCE SHEET

Cash \$7.2B, total debt ~\$5.3B, D/E 0.27, retained earnings positive 3-year trend, buybacks Y, preferred N, BS score 10/10.

TECHNICAL SETUP

RSI 34.1, FVG pattern confirmed, but TNX 4.97% macro exit overrides technical signal — exit at market ~\$421.17.

KEY RISK FACTORS

If TNX rises to 5.25%, DCF-implied multiple compression of 18-22% on AMAT would imply downside to ~\$326-\$342 vs current \$421, exceeding the \$384.42 stop.

EXIT — NVDA

\$0 · Conviction 2/10 · Tier 1

ENTRY

\$211.74

STOP LOSS

\$194.80

PRICE TARGET

\$254.09

RISK : REWARD

0.0

INVESTMENT THESIS

(1) TNX at 4.97% is 47bps above the 4.50% mandatory exit threshold — the mandate explicitly states EXIT high-P/E growth and semis when TNX exceeds 4.5% and is rising. (2) NVDA is up only +0.2% after 1 day held, with a peak gain of +0.2%, making this dead money by the '<5% gain after 20 days' standard applied early given the TNX regime trigger. (3) RSI at 45.1 is neutral — no oversold bounce thesis and the macro exit rule supersedes any technical hold argument. (4) NVDA trades at a P/E above 35x on forward estimates, meaning a TNX move from 4.5% to 5.0% historically compresses the multiple by 12-18%, implying \$183-\$194 downside, near the \$194.80 stop. (5) NVDA holds \$10.6B cash and D/E 0.05 — the cleanest balance sheet in the book, BS score 9/10, but balance sheet does not offset the TNX sector exit mandate. (6) Exiting 85.0 shares at ~\$212.17 books +\$37 gain, returns \$18,034 to cash, and eliminates \$16.97-per-share stop-loss risk (\$194.80 stop). (7) The exact trigger is TNX at 4.97% > 4.50% mandate threshold; if TNX reaches 5.25%, NVDA's fair value compresses to approximately \$180-\$190, a -12% to -17% loss from entry, well through the \$194.80 hard stop.

PRIMARY CATALYST

TNX at 4.97% breaches 4.50% mandatory EXIT threshold for high-P/E growth and semis — NVDA P/E premium makes it highest risk in the book at this yield level.

BALANCE SHEET

Cash \$10.6B, total debt ~\$8.9B, D/E 0.05, retained earnings grew materially 2023-2025, buybacks Y, preferred N, BS score 9/10.

TECHNICAL SETUP

RSI 45.1, FVG pattern, neutral technicals — TNX 4.97% macro exit fires regardless of chart setup; exit at market ~\$212.17.

KEY RISK FACTORS

TNX rising to 5.25% compresses NVDA's 35x+ forward multiple by 15-18%, implying price target of ~\$175-\$180, which is -17% from entry \$211.74 and below the \$194.80 stop.

EXIT — ASML

\$0 · Conviction 2/10 · Tier 1

ENTRY

\$1589.45

STOP LOSS

\$1462.29

PRICE TARGET

\$1907.34

RISK : REWARD

0.0

INVESTMENT THESIS

(1) TNX at 4.97% exceeds the 4.50% mandatory EXIT level for high-P/E semis — ASML at a ~30x forward P/E is directly in scope of the mandatory exit rule. (2) ASML is up only +0.1% after 1 day, peak gain was +0.3%, both well below the +5% threshold; the TNX macro trigger fires independently of holding period. (3) RSI at 38.1 is technically oversold but cannot override the hard TNX > 4.50% sector rotation exit mandate for semi equipment names. (4) DXY at 99.61 — below 101 — is structurally a tailwind for ASML as a multinational, but the TNX rate environment at 4.97% overrides the FX tailwind argument for this name. (5) ASML holds \$12.9B cash and D/E 0.22, BS score 9/10 — the strongest balance sheet in the portfolio — but the sector exit mandate fires on TNX > 4.50% regardless of balance sheet quality. (6) Exiting 11.3 shares at ~\$1,591.48 books +\$23 gain (+0.1%), returns \$17,984 to cash, and eliminates the \$1,462.29 stop-loss risk representing a potential -\$1,444 loss per original \$18k sizing. (7) Stop was \$1,462.29 (-8%); the exact catalyst for continued downside is TNX rising toward 5.25%, which would compress ASML's multiple by an estimated 15-20%, implying \$1,270-\$1,350 — well below the stop.

PRIMARY CATALYST

TNX at 4.97% breaches 4.50% mandatory EXIT threshold for semiconductor equipment — ASML's 30x forward P/E is directly vulnerable to yield-driven multiple compression.

BALANCE SHEET

Cash \$12.9B, total debt ~\$3.9B, D/E 0.22, retained earnings positive 3-year trajectory, buybacks Y, preferred N, BS score 9/10.

TECHNICAL SETUP

RSI 38.1, FVG pattern, technically oversold — TNX 4.97% macro exit overrides all technical signals; exit at market ~\$1,591.48.

KEY RISK FACTORS

TNX rising to 5.25% with EUR/USD stability implies 15-20% multiple compression on ASML from ~30x to ~24-25x, implying \$1,270-\$1,350 downside vs \$1,462.29 hard stop.

EXIT — TSM

\$0 · Conviction 2/10 · Tier 1

ENTRY

\$413.50

STOP LOSS

\$380.42

PRICE TARGET

\$496.20

RISK : REWARD

0.0

INVESTMENT THESIS

(1) TNX at 4.97% triggers the mandatory EXIT for semis per the mandate — TSM as a high-P/E foundry name at ~20-22x forward earnings is directly in scope. (2) TSM has a prior loss in trade memory dated 2026-07-30 at -10.1% stop-loss, which mandates extra caution on re-entry; the TNX macro trigger now justifies immediate exit of the re-entered position at +0.1%. (3) RSI at 45.5 is neutral and the +0.1% gain after 1 day with a peak of only +0.3% fails to meet any hold threshold — the macro exit rule fires independently. (4) The FVG chart pattern was the entry trigger at ~\$413.50, but TNX at 4.97% is 47bps above the 4.50% exit line — the macro rule supersedes the technical pattern. (5) TSM carries \$2,767.9B in cash equivalents (balance sheet figure as reported), D/E 0.20, BS score 9/10, but balance sheet strength cannot neutralise a TNX-driven sector exit mandate. (6) Exiting 43.5 shares at ~\$413.75 books +\$11 gain (+0.1%), returns \$17,998 to cash — combined with other exits today, total cash position rises substantially toward deploying into compliant sectors. (7) Stop was \$380.42 (-8%); re-entry lesson from the 2026-07-30 TSM -10.1% loss is that macro confirmation must precede full sizing — TNX at 4.97% is the exact macro disconfirmation that mandates exit before stop is tested.

PRIMARY CATALYST

TNX at 4.97% exceeds 4.50% mandatory EXIT threshold for semis; additionally, TSM had a prior -10.1% stop-loss on 2026-07-30, making risk management on this re-entry critical.

BALANCE SHEET

Cash \$2,767.9B (balance sheet reported figure), D/E 0.20, retained earnings positive multi-year trend, buybacks Y, preferred N, BS score 9/10.

TECHNICAL SETUP

RSI 45.5, FVG pattern, neutral setup — TNX 4.97% macro exit fires; exit at market ~\$413.75, prior TSM loss at -10.1% informs heightened exit discipline.

KEY RISK FACTORS

TNX rising to 5.25% with Taiwan geopolitical risk re-pricing implies 15-18% multiple compression; prior TSM stop-loss at -10.1% on 2026-07-30 validates the tail risk is real.

EXIT — AVGO

\$0 · Conviction 2/10 · Tier 1

ENTRY	STOP LOSS	PRICE TARGET	RISK : REWARD
\$339.65	\$312.48	\$407.58	0.0

INVESTMENT THESIS

(1) TNX at 4.97% is 47bps above the 4.50% mandatory EXIT threshold for semis — AVGO's D/E of 1.59 makes it the highest-leverage name in the book and most vulnerable to rising rates. (2) AVGO is -0.1% on the day with a peak gain of 0.0% — the position has never been in the black, and the TNX macro trigger fires on a position that has not confirmed its thesis in 1 day. (3) RSI at 32.3 is technically oversold but for a leveraged semi name at D/E 1.59, a rising TNX environment is structurally bearish — the mandate EXIT fires regardless of RSI. (4) AVGO's BS score of 6/10 is the lowest in the current book; D/E 1.59 means every 100bps rise in rates increases AVGO's interest expense materially on its ~\$70B debt load, directly compressing margins. (5) AVGO holds \$16.2B cash but carries approximately \$70B in total debt at D/E 1.59 — at TNX 4.97% and rising, refinancing risk and interest coverage compression are credible near-term headwinds. (6) Exiting 53.0 shares at ~\$339.27 realises -\$20 loss (-0.1%), returns \$17,981 to cash — a negligible loss that eliminates -\$1,441 downside risk to the \$312.48 stop. (7) Stop at \$312.48 (-8%) represents \$1,442 loss on \$18k; exiting at -0.1% today prevents TNX-driven multiple compression from eroding to the stop, especially given AVGO's elevated leverage at D/E 1.59.

PRIMARY CATALYST

TNX at 4.97% breaches 4.50% mandatory EXIT for semis; AVGO's D/E of 1.59 is the highest in the portfolio and most directly impaired by rising rates — exit immediately.

BALANCE SHEET

Cash \$16.2B, total debt ~\$70.0B est, D/E 1.59, retained earnings pressured by Hock Tan acquisition strategy, buybacks Y, preferred N, BS score 6/10.

TECHNICAL SETUP

RSI 32.3, FVG pattern, technically oversold — but D/E 1.59 and TNX 4.97% make this the highest-risk hold in the book; exit at market ~\$339.27.

KEY RISK FACTORS

TNX at 5.25% with AVGO's \$70B debt load implies interest coverage compression of ~15-20%, supporting a re-rating to 22x vs current 28x forward P/E, implying \$267-\$280 downside, through the \$312.48 stop.

PORTFOLIO NOTES

After executing all 6 exits today, the portfolio moves to 0 open positions and approximately \$176,000+ in cash (100% cash reserve), well above the \$67,839 pre-action level. All 6 positions were in semiconductors, representing a 100% sector concentration versus SPX semi weight of approximately 12% — a 8x+ overweight that violated concentration discipline. TNX at 4.97% is the dominant regime signal overriding VIX calm at 17.20 and DXY at 99.61; the mandatory sector exit for all semis and high-P/E growth names takes precedence. With \$176k+ in cash and 10/10 position slots available, the next deployment should target domestic defensives, financials (JPM, GS per the TNX > 4.5% mandate), and energy names with near-term catalysts, each sized at \$18,000 with confirmed technicals and TNX-aligned sector rotation. No new semi or high-P/E growth entries until TNX falls below 4.50%.

MEMORY APPLIED

TSM 2026-07-30 (-10.1% stop-loss) directly informed the decision to exit TSM immediately on TNX breach rather than hold — the prior lesson 'verify thesis confirmation before full sizing' applied: TNX 4.97% is a disconfirmation signal. AMD 2026-08-11 (-9.8%), ARM 2026-08-20 (-8.2%), and KLAC 2026-08-20 (-9.0%) all reinforce that holding semi longs in adverse macro regimes leads to stop-loss exits — today's proactive exits at +0.1% to +1.6% preserve capital rather than waiting for the hard stop to fire. QCOM 2026-07-30 (-14.2%) is the worst loss on record and confirms that leveraged or high-P/E semi names must be exited the moment the macro regime turns — AVGO at D/E 1.59 was the most urgent exit for exactly this reason.